

Article | 19 August 2026

RATES SPARK

## Rates Spark: The Treasury's plan for the back end

It's clear that the US Treasury is ready to place a limit to the upside for longer-dated yields. The impact of the increased buybacks is not so much on the doubling of them in long dates, but more so on the implied reality that they could be doubled again, and again if needed. But given what we have now, and until then, upward pressure on long yields will remain



With the US Treasury doubling the buybacks of long-dated bonds, there is the possibility they could do it again and again

As noted [here](#), the Treasury's decision to increase buybacks in longer durations smacks of discomfort with the sell-off seen in longer tenor Treasury securities of late. It's been impactful, with the 10-30-year yields down 5-10bp to begin with. The official genesis of the buyback programme, back in May 2024, was to bolster liquidity, and indeed, that was the rationale employed to explain away the announced doubling of buyback sizes in the 10yr to 30yr maturities. If we annualise the quarterly rhythm, that nets an additional US\$18bn of buybacks through these tenors. That stretches the buyback programme from US\$38bn to US\$56bn (of which US\$36bn in the 10-30 yrs). On top of that, there is US\$25bn in the 1-2 year area for cash management purposes. While the entire buyback programme is actually less in size than one regular 2yr auction event, it's still chunky.

We've also made the point that these buybacks need to be subsequently re-financed. And they do. However, the important nuance here is that for any given steady-state coupon issuance rhythm (which we've had and are likely to continue to have), any additional buybacks must, by definition, be financed through extra bills issuance (as bills are the variable that the Treasury must deploy with on a fixed bond issuance programme). This morphs the impact of the additional buybacks into a structural impact on long-dated bonds outstanding, as they effectually get replaced by rolling bills issuance. It's a zero-sum game from the Treasuries perspective, but from the markets' perspective, it adds to bills issuance, and has a bigger effect through lower long-duration net issuance.

We'd maintain the view that this move is unlikely on its own to change the trajectory for long-end yields. It does mute it though. And moreover, it reminds the market that the Treasury could double the long tenor buyback sizes again, and again if needed. That's the real kicker from this move: the anticipation for more should long-dated yields decide to morph higher again in an overly sinister fashion in the days and weeks and months ahead. Given that, we'd continue to identify upward pressure on long-end yields as a dominant factor that the market will need to deal with. But muted it absolutely is.

Note that this is not quantitative easing. It is long-end buying by the Treasury, effectively financed through buying more bills. As a stand-alone factor, it places a flattening impulse on the curve, thus muting the net steepening that we continue to anticipate. We're still of the opinion that the 10yr yield has a risk factor move in it to the 4.75% to 5% zone. And for now, it's unlikely to get much below 4.5%, but one thing has become more clear from this is any move above 5% (or even the material threat thereof), would likely be actively resisted/prevented by the US Treasury Department.

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Article | 24 August 2026

RATES SPARK

## Rates Spark: US long-end under increasing scrutiny

US and EUR long-end yields remain under pressure from fiscal concerns, resilient growth, energy risks and renewed supply, keeping bearish steepening risks intact even as benign US inflation supports the front end



Long-end yields remain under pressure amid fiscal concerns

### US: A bearish steepening theme is more likely to persist

The US long end will remain under scrutiny. The US Treasury's attempt to dampen the rise under the guise of scaled-up liquidity operations has only drawn more attention to the underlying issue, the growing debt load and the limited ability or willingness to rein in the US deficit. While it has been signalled that some announcements to cut back on wasteful spending will be made in coming days, without a big rethink coming from Congress, we are only looking at trimming the edges.

There are other factors aggravating the situation in bond markets, such as the tech-related issuance (markets will be paying attention to this week's earnings) and, on the monetary policy side, the ongoing concern with inflation. On the latter, some of the heat has come off though. The market will be looking to the Federal Reserve's favoured inflation measure, the core PCE, this Wednesday. But the CPI release has already been benign alongside other indicators, e.g. producer prices.

That means Fed Chair Kevin Warsh might be under less pressure to provide the clarity the market is seeking when he delivers his speech at this year's Jackson Hole conference on Friday. The market is down to discounting 10bp of tightening for September, which translates into the implied probability of a hike of 40%. At the start of this month, we were above 70%.

Overall, the front end might stay better supported, but the issues plaguing the long end are not going away. We think this leaves a curve twisting steeper or even outright bearish steepening theme intact as our base case. We had flagged last week that 10y US Treasury yields could well test beyond the 4.75% towards 5%.

### **EUR: The long-end has been an issue, but there is no letup in short-end pressure**

Elevated deficits and high debt loads are not only a US issue, but something European bond markets have grappled with for some time already. France and Italy are the main concern currently, but even Germany is facing scrutiny with record-high issuance planned also in the years ahead. 10y Bund yields have risen to above 3.25% over the past week, the highest since 2011, albeit in a less volatile fashion.

The underlying energy situation, with increasing concerns surrounding gas prices, remains a more meaningful driver in the near term that keeps the market's pricing of the European Central Bank aggressive even beyond the September meeting. And we are likely to see an energy-related rise in the flash CPIs coming from the individual countries this week, keeping that pressure alive. On the growth side, the latest round of flash PMIs pointed to an economy staying surprisingly resilient, offering the rates market little relief. We will be looking to Germany's Ifo release on Tuesday, but even here, the consensus is looking for a small improvement.

A more technical driver that has perhaps played more into the timing of the rise in bond yields is the resumption of issuance activities after the summer break. We have seen the first government bond syndicated issuances, including a German 30y tap. But the broader SSA market has also gained steam with German issuers testing the waters.

### **Monday's events and market view**

It will be a slow start to the week in terms of scheduled calendar events. We will be mainly looking for headlines around the US deficit, with officials having touted coming announcements to curb spending. On the geopolitical front, Treasury Secretary Scott Bessent will provide more detail on US plans to increase the economic pressure on Iran in a press conference today.

In the primary government bond markets, Belgium will auction 5y, 10y and 20y bonds for a total of €2.6-3bn.

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Article | 24 August 2026

FX

## FX Daily: Dollar soft, US policy in spotlight

The dollar opens the week on a soft footing as the market awaits fresh policy updates from the White House. These include economic D-Day for Iran and perhaps some kind of US fiscal consolidation plan promised after stress in the Treasury market last week. Most paths seem to lead to a weaker dollar, but Kevin Warsh's speech on Friday could prove supportive.



There may still be room for further USD long-squeezing, and we remain reluctant to call the bottom in this dollar selloff just yet

### ↓ USD: US economic policy in focus

It has been a quiet start to the week in Asia, but the dollar remains near its recent lows. We made the point last week that we tend to favour a more [pro-risk, benign dollar decline](#) than some, but there are many in favour of sharper dollar losses on a return of the 'debasement' trade. That could be tested later today, with US Treasury Secretary, Scott Bessent, announcing a new set of sanctions on Iran. With a new chapter in the US-Canada trade war opening up over the weekend, the question will be to what degree the new sanctions on Iran threaten US trade ties with China again, where China remains the largest buyer of Iran's energy imports. Given the febrile mood in the market and positioning, a big re-escalation in the tariff war is

probably a dollar negative.

The other big US policy announcement in focus is the prospect of fiscal consolidation dangled by Bessent last week. Given Washington's firmly pro-growth mind-set, few expect any substantial spending cuts or tax rises, with the burden probably placed on efficiency gains. Clearly, the US Treasury market is not out of the woods yet and this week the focus will also be on Thursday's \$44bn auction of seven-year Treasuries.

Also, important this week are Wednesday's release of US core PCE inflation for July and Friday afternoon's keynote speech from Kevin Warsh at the Jackson Hole symposium. While he is unlikely to shed much/any light on what the Fed will do with monetary policy next month, he will have to double-down on the Fed's inflation-fighting credentials - this after his July press conference triggered a sell-off at the long-end of the Treasury market. The speech could be a hawkish event risk for the dollar.

DXY dollar index can probably see further consolidation in a 98.50-99.00 range today, with greater risk seen on the downside.

Chris Turner

### ↑ **EUR: Positioning favours the euro**

Latest positioning data from the futures market in Chicago points to asset managers and leveraged funds buying euro contracts. The amounts are not particularly large and the data does predate last Wednesday's jump in EUR/USD, but this does serve as a reminder that speculators look quite underweight the euro. This was the same conclusion we drew when looking at the [EUR/USD hedging data](#).

On the calendar this week is the release of the August German IFO tomorrow. Like the [Eurozone PMIs](#), this is expected to continue its recovery after the sharp drop witnessed in March and April.

We do not really see the need for EUR/USD to come back sharply under support at 1.1660/70 today, but last week's break-out area would be the risk if risk assets started to suffer. At present, we are happy with our [current forecasts](#) for EUR/USD at 1.17 end September and 1.18 for end year - but will be reviewing those this week.

Chris Turner

### ↓ **CAD: Trade war escalates**

Trade negotiations between the US and Canada have temporarily broken down, with both sides re-imposing tariffs on the other. As a smaller, more open economy, Canada has more to lose from this, but Prime Minister Mark Carney seems to have opened the door to more fiscal



stimulus to support affected business.

After a very strong run recently, the Canadian dollar has come under some pressure. The correction in USD/CAD could extend to the 1.380/3910 area, but we suspect USD sellers will return there.

Chris Turner

### ➔ TRY: CBT restarts one week repo operations

In some welcome news out of Turkey, the Central Bank of Turkey announced over the weekend that it would be restarting the one-week repo operations. This means that funding operations switch to the 37% policy rate and away from the 40% overnight lending rate. Recall that the one-week repo operations were suspended in early March at the outbreak of US-Iran hostilities and the CBT effectively delivered a 300bp rate hike.

A return to more traditional funding policy looks to be a sign of confidence from local policymakers. TRY short-dated implied yields have dropped on the news and those positioned in the carry trade, expecting the lira to outperform the forwards, will likely stay invested.

Chris Turner

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Article | 21 August 2026

COMMODITIES, FOOD &amp; AGRI

## Is gold back?

Gold has rebounded sharply from its July lows, supported by renewed investment demand and growing unease over the US fiscal outlook. But persistent inflation and the possibility of further Fed tightening mean the recovery is unlikely to be straightforward



Growing concerns over the US fiscal situation and investment demand are giving momentum to gold prices

### Fiscal risks give gold fresh momentum

Gold has climbed from around \$4,000/oz in mid-July to around \$4,600/oz, returning to levels last seen in May.

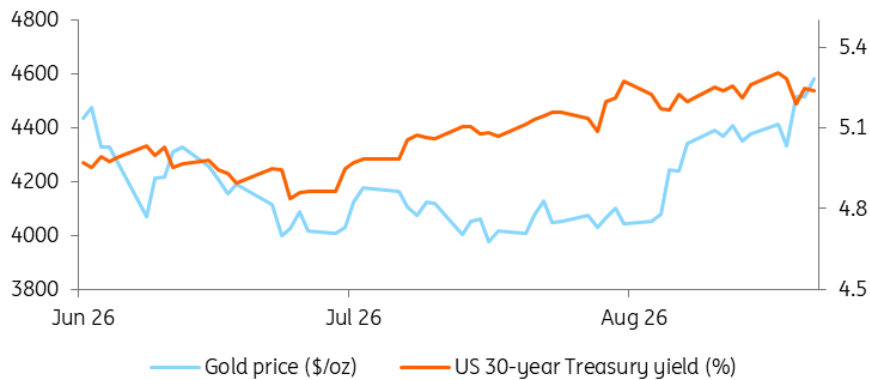
The latest move followed the US Treasury's decision to increase its purchases of longer-dated government debt. The maximum size of buyback operations in the 10-to-30-year segment will rise from \$2bn to at least \$4bn, with Treasury Secretary Scott Bessent signalling that the programme could be expanded further.

The bond-market impact proved short-lived, with long-term yields subsequently recovering much of their decline. Gold, however, continued to strengthen.

In our view, gold's resilience suggests that the rally is not simply a response to lower yields. The prospect of larger Treasury buybacks has refocused attention on government borrowing and fiscal credibility. It has also revived concerns about currency debasement, reinforcing

gold's appeal as a store of value.

## Gold rebounds despite elevated long-term yields



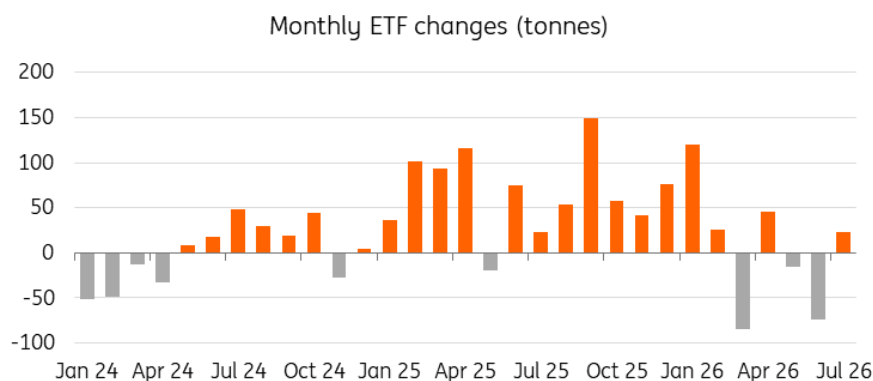
Source: Refinitiv, ING Research

A weaker dollar and lower short-term yields have helped gold rebound after prices found support around \$4,000/oz in mid-July. Softer US data have also revived expectations that the Fed could begin easing policy in 2027.

## Investment demand is recovering

The improvement in ETF demand is another positive signal. Global gold-backed ETFs attracted \$3bn in July, lifting their holdings by 23 tonnes, according to the World Gold Council.

## Gold ETF inflows return



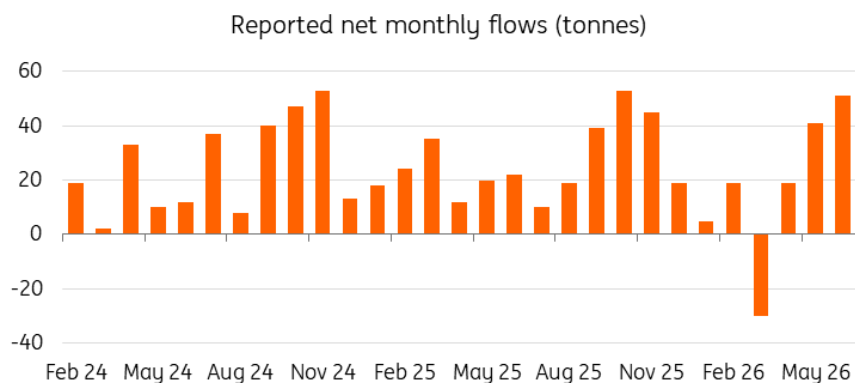
Source: WGC, ING Research

The recovery has continued into August. Funds tracked by Bloomberg added around 18 tonnes on Thursday alone, their strongest daily accumulation in almost a year.

Central banks also remain a significant source of demand. Reported net purchases reached 51

tonnes in June, taking the first-half total to 102 tonnes, with Poland and China leading the buying. We expect official-sector buying to continue supporting the market, but further gains will increasingly depend on whether Western investors maintain their renewed interest in gold.

### Central bank purchases rebound



Source: WGC, ING Research

### Inflation remains the main headwind

The rally still faces headwinds. Rising energy prices are adding to US price pressures and could keep monetary policy restrictive for longer.

[Minutes from the Fed's July meeting](#) showed that some policymakers favoured an immediate rate increase, while others were prepared to support further tightening if inflation remained elevated.

The Fed's annual Jackson Hole symposium from 27 to 29 August will be closely watched. Any indication that policymakers are becoming more willing to raise rates would risk lifting yields and the dollar. A greater focus on growth or financial stability would be more supportive for gold.

### Upside risks to our outlook are growing

Our forecast of \$4,150/oz for the fourth quarter (average price) assumes that persistent inflation keeps US monetary policy restrictive and prevents a sustained fall in yields. However, renewed ETF buying, a weaker dollar and mounting fiscal concerns are creating increasingly clear upside risks to our outlook.

Gold's correction appears to have found a floor. Renewed ETF buying and its resilience despite elevated yields suggest the recovery is on firmer footing, but further gains will depend on whether investment demand continues to build and how the Fed responds to persistent inflation.

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Article | 21 August 2026

CZECH REPUBLIC HUNGARY

# CEE & CCA week ahead: Hungary rate decision, Polish retail sales and Czech confidence

Next week, we're looking for an expected rate cut from the National Bank of Hungary at Tuesday's meeting. Key data releases from Poland and the Czech Republic are also in focus, including retail sales, labour market figures, confidence indicators and details of second-quarter GDP prints



We're expecting Tuesday to mark the last step in the NBH's mini rate-cutting cycle, but we don't think the story will end there

## Poland: Retail sales to feel the impact of higher fuel prices

Monday brings July retail sales data. The standard VAT rate on petrol and diesel (23%) was reinstated at the beginning of July following a temporary reduction to 8%. Together with another increase in crude oil prices, this pushed up retail fuel prices at the pumps. Given the relatively inelastic demand for fuel, particularly during the summer holiday season, it likely weighed on demand for other goods, as a larger share of household budgets was allocated to transport. Despite the fuel price shock, the impact on consumer demand appears to have remained limited so far, partly owing to fiscal measures that moderated the extent of price

increases at filling stations in the previous months.

Tuesday sees the release of the registered unemployment rate, which we expect to have remained unchanged from June. However, the Ministry of Family, Labour and Social Policy reported a slight increase in the number of unemployed people last month, which could result in a marginal rise in the registered unemployment rate.

### **Hungary: Rate cut expected as focus shifts to further easing**

The final interest rate decision of the summer on Tuesday is approaching, marking the last step in the previously announced mini-rate-cut cycle. However, we are almost certain that this isn't the end of the story, and that the mini-cycle will evolve into a midi-cycle. The July inflation data clearly sets the stage for this.

At the same time, we doubt the August interest rate decision will concern anything other than the current situation. The central bank has made it quite clear on countless occasions that the decision on whether to continue the easing cycle will be made in light of the September Inflation Report. The 1.2% inflation rate in July falls outside the uncertainty range of the National Bank of Hungary's June forecast, meaning the overall inflation picture has clearly improved.

However, this is unlikely to prompt NBH Governor Mihály Varga and his colleagues to draw hasty conclusions or make premature announcements. In today's rapidly changing world, where geopolitical and global trade developments rewrite economic scenarios every 24 hours, the NBH is unlikely to commit to anything at this point. Forward guidance may, however, include a conditional statement regarding the inflation outlook that could signal continued interest rate cuts. According to our forecast, the Hungarian base rate could reach 4.75% by the end of 2026.

### **Czech Republic: Confidence indicators and GDP details in focus**

Monday brings August consumer confidence data. We expect that it edged marginally lower in August yet remained well above its long-term average. That said, households are beginning to express concern about the impact of geopolitical unrest on the future performance of the Czech economy and potentially on their own financial position. Business confidence is set to have marginally picked up in the same month, while hovering only slightly above its long-term average values.

The driving force here is the relatively strong influx of new orders, while rising input costs remain a drag. The Statistical Office is about to confirm the 2Q26 real GDP figures, while we wonder about the resilience of consumption and fixed investment expenditure within the breakdown of a relatively soft GDP reading.

## Key events in CEE & CCA next week

| Country             | Time (BST) | Data/event                       | ING     | Prev.   |
|---------------------|------------|----------------------------------|---------|---------|
| Monday 24 August    |            |                                  |         |         |
| Poland              | 0830       | Jul Retail Sales (YoY%)          | 3.3     | 6.2     |
|                     | 1300       | Jul M3 Money Supply (YoY%)       | 11.6    | 11.8    |
| Czech Rep           | 0800       | Aug Consumer Confidence          | 105.2   | 105.6   |
|                     | 0800       | Aug Business Confidence          | 100.4   | 100.2   |
|                     | 0800       | Aug Composite Confidence Index   | 101.2   | 101.1   |
| Tuesday 25 August   |            |                                  |         |         |
| Poland              | 0830       | Jul Unemployment Rate (%)        | 5.8     | 5.8     |
| Hungary             | 1300       | Rate Decision (%)                | 5.5     | 5.75    |
| Wednesday 26 August |            |                                  |         |         |
| Russia              | 1700       | Jul Industrial Output (YoY%)     | 1.6     | 0.6     |
| Thursday 27 August  |            |                                  |         |         |
| Turkey              | 1230       | Gross FX Reserves (USD bn)       | 75.6    | 71      |
| Hungary             | 0730       | Jun Average Gross Wages (YoY%)   | 8.4     | 8.7     |
| Croatia             | 1000       | Q2 GDP (YoY%)                    | 2.4     | 2.2     |
| Friday 28 August    |            |                                  |         |         |
| Turkey              | 0800       | Jul Trade Balance (USD bn)       | -7.4    | -10.4   |
| Czech Rep           | 0800       | Q2 Final GDP (QoQ%/YoY%)         | 0.4/2.0 | 0.4/2.0 |
| Hungary             | 0730       | Jul Trade Balance Final (EUR mn) | 1305    | 1305    |
|                     | 0730       | Jul Unemployment Rate (%)        | 4.4     | 4.5     |

Source: Refinitiv, ING

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Article | 21 August 2026

FX

## FX Daily: Much ado about buybacks, softer dollar

This week's US Treasury intervention in the bond market has caused much furore amongst the buy and sell-side financial community alike. We see the move more as a signalling tool that the US Treasury has a problem with high bond yields and wants to address it. For the time being, we favour this triggering a benign, risk-friendly dollar decline



Most paths lead to a weaker dollar; we prefer the pro-risk route

### ↓ USD: Most paths favour a softer dollar

Many commentators seem to be treating this week's US Treasury intervention in bond markets as a heinous financial crime. We prefer to take the view offered by a former US Treasury official interviewed in the Financial Times today that this was a [signalling exercise](#). Yes, these buy-back operations were originally designed to address market liquidity issues and the off-cycle nature of the adjustment has raised eyebrows. But the main takeaway has to be that higher longer-dated Treasury yields are firmly on the Treasury's radar and need to be addressed. US Treasury Secretary Scott Bessent suggested yesterday that there might be some new fiscal consolidation plans incoming. These could centre on a task force to cut back on fraud in the same way that Elon Musk's DOGE tried to cut back on government spending. Most are sceptical that this will make any dent in the near 6% budget deficit, but let's see what

is announced.

For the dollar, quite a few are comparing this week's Treasury buybacks to President Donald Trump's 'Liberation Day' tariffs and concluding this again undermines US policy credibility. During that period in April 2025, the Swiss franc, the euro and the yen led the charge against a weaker dollar. We see this week's developments less as a policy credibility story and more as a soft dollar, pro-risk story if the US Treasury is taking a greater interest in protecting the long end. That probably means a gentler dollar decline and some outperformance of high-beta commodity currencies and emerging market currencies in general. If we're wrong and Treasuries and equities start selling off hard, then the story would revert to a lower USD/CHF, higher EUR/USD and high-yield FX selling off as volatility rises.

On today's US calendar are the S&P PMI readings for August – all expecting continued expansion in activity.

DXY has support in this 98.65/70 region and will probably struggle to make it back above 99.00 now.

*Chris Turner*

### 📈 **EUR: US fiscal consolidation would be EUR/USD positive**

EUR/USD remains well supported, and, as above, we favour the kind of benign decline in the dollar that tends to float all boats. Not that anyone is expecting it, but should some true US fiscal consolidation emerge, the combination of tighter fiscal policy and looser monetary policy would be dollar-negative. Fiscal consolidation seems unlikely though, with Washington wanting to spread its pro-growth mindset to the entire G20 when finance ministers and central bank governors meet later this month.

Today's eurozone data calendar focuses on the August PMIs. For the eurozone as a whole, these are expected to indicate a continued mild expansion and one which supports another European Central Bank hike in September. There will also be focus on the ECB's Consumer Expectations Survey, where three-year inflation expectations reached 3.0% in March and are expected to remain elevated at 2.8%.

With emerging market currencies performing well, we prefer a continued gentle rise in EUR/USD. High natural gas prices remain a concern, but since the eurozone economy seems to be coping with these better now, EUR/USD can focus on the soft dollar story.

EUR/USD can consolidate in a tight 1.1670-1.1710 range today, before potentially edging higher.

*Chris Turner*



### ↓ CHF: This is not April 2025

Wednesday's US Treasury announcement on buy-backs saw USD/CHF lead the dollar lower. This recalled events of April 2025, when concerns over policy credibility hit all US classes and the dollar, while the Swiss franc was preferred. Our take on this week's events is different. We think the sharp sell-off in USD/CHF was driven by position adjustment after the June narrative of a more hawkish Fed had favoured USD/CHF longs.

If we're right that greater interest in protecting the Treasury market is more a risk-positive story, then volatility will stay low, and interest will remain firm in the carry trade. Here, we think the Swiss franc rather than the yen will increasingly become the preferred funding currency and send EUR/CHF back to 0.9400. We are encouraged by the EUR/CHF bounce back above 0.9350 since Wednesday.

*Chris Turner*

### ↑ ZAR: External environment helps rand

Our softer dollar, pro-risk environment favours high-yielding commodity currencies like the rand. The rand normally has a decent correlation with the Chinese renminbi, which is performing quite well along with large parts of Asian FX. We can see USD/ZAR pressing the April low at 15.92 and then perhaps testing the 15.75/80 area. One area of concern for the rand later this year, however, could be El Niño, where drought conditions could cause some major problems.

*Chris Turner*

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Article | 20 August 2026

RATES SPARK

## Rates Spark: Data for the EUR belly

The latest volatility in long-end US yields has left the EUR side largely unimpressed. But we look to Friday's data, not so much to challenge the near-term hike discount, but with regard to whether the European Central Bank will be able to back track its tightening in any meaningful way further down the road



Any downside surprise to the eurozone PMIs could help the belly of the curve recover somewhat

### With markets firm on upcoming ECB hikes, data might impact the belly more

While US 10y Treasuries have spanned a range of more than 11bp over the past three sessions, 10y Bund yields have remained remarkably sticky just above the 3.25% level, spanning a range of merely 3bp.

While certainly there has been a focus on the US side of things around the US Treasuries actions, it is also partly down to an absence of EUR specific data and events. The picking up of issuance and ongoing concerns around energy and geopolitics are factors to explain elevated yields if we had to lay a finger on it, but they have not really added volatility looking at the traded ranges.

There has been somewhat more movement on the front end, and if anything, this is where the end of the week could now see more volatility with the release of the flash PMIs, and the ECB's consumer inflation expectations survey. The consensus points to marginal weakening in the PMIs, but not to the degree that would really challenge the current rate hike discount. Any

downside surprise, though, might help the belly of the curve recover somewhat.

What we have seen since the summer is that data on balance has come in better despite the challenging backdrop. Alongside persistent energy concerns, this has helped put relatively more upward pressure on the belly of the curve. By now, the market has basically shed its hopes for any meaningful backtracking of the ECB tightening further down the road – the 1m OIS out 2 years is at the same level as 1m OIS out 1 year. Since around mid-March, the 2y forward had been consistently below the 1y forward apart from three very brief episodes.

### Friday's events and market view

The data calendar is busier as the market eyes the release of the flash PMIs. In the eurozone, the consensus is looking for a marginal drop in the composite from 52 to 51.7, which would still leave it in expansionary territory. In terms of other releases for the eurozone, consumer confidence in August, surveyed by the Commission, is seen remaining at subdued levels. Consumer inflation expectations for July, surveyed by the ECB, are seen unchanged at 3% over the 3-year horizon. Second quarter negotiated wages in the eurozone are seen somewhat lower at 2.4%.

In the US we will also be watching the PMIs. While seen weakening as well, they are still more solidly in expansionary territory with the composite index only seen coming down to 53.9.

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Article | 21 August 2026

ASIA WEEK AHEAD CHINA PHILIPPINES

# Asia week ahead: Philippine rate decision and Singapore, China, Taiwan data

The Philippine central bank is expected to hike rates by 25bp, while data highlights include Singapore inflation, China industrial profits in Taiwan industrial production



## Asia Research highlights of the week

[China's growth imbalance worsened with domestic activity slowing in July](#)

### Philippines: BSP expected to hike rates by 25bp

We continue to expect the Bangko Sentral ng Pilipinas (BSP) to deliver a 25bp rate hike on Thursday, despite recent moderation in headline inflation. While CPI prints in June and July offer some reassurance that prices have peaked, underlying pressures remain elevated. Yet the central bank remains cautious for several reasons, including a recovery in Brent oil prices, food inflation remaining vulnerable to supply-side shocks and recently announced wage



increases.

### **Singapore: Inflation set to accelerate in July**

July CPI inflation is expected to accelerate sharply, driven by electricity tariff adjustments. The pass-through of higher utility costs is likely to extend to core inflation amid increased prices for retail goods and services.

### **China: Industrial profits recovery in focus**

China releases its July industrial profits data on Thursday. Profits have seen a solid recovery this year as sectors such as computers, communications, and electronic equipment significantly outperform thanks to the tech boom. Coal mining and oil and gas extraction had strong first half profits growth as well amid higher energy prices.

### **Taiwan: Industrial production growth to remain strong**

Taiwan releases its July industrial production data on Tuesday. We expect another strong month of growth, thanks to strong performance from the computers, electronic and optical products and semiconductor subcategories. We look for a 23.3% year-on-year increase, broadly stable from June's growth rate.

### **Key events in Asia next week**

| Country                    | Time (GMT+8) | Data/event                        | ING     | Prev.    |
|----------------------------|--------------|-----------------------------------|---------|----------|
| <b>Monday 24 August</b>    |              |                                   |         |          |
| Singapore                  | 1300         | Jul Core CPI (YoY%)               | 2,2     | 1,6      |
|                            | 1300         | Jul CPI (YoY%)                    | 2,3     | 1,9      |
| Taiwan                     | 1600         | Jul Unemployment Rate (%)         | -       | 3,3      |
|                            | 1620         | Jul M2 Money Supply (YoY%)        | -       | 8,1      |
| Thailand                   | 1100         | Jul Exports (YoY%)                | -       | 20,8     |
|                            | 1100         | Jul Imports (YoY%)                | -       | 50,3     |
|                            | 1100         | Jul Trade Balance (USD bn)        | -       | -6,5     |
| <b>Tuesday 25 August</b>   |              |                                   |         |          |
| Japan                      | 1300         | Jun Leading Indicator Final       | -       | 116,4    |
| Hong Kong                  | 1630         | Jul Imports (YoY%)                | -       | 45,4     |
|                            | 1630         | Jul Exports (YoY%)                | -       | 53,4     |
| Taiwan                     | 1600         | Jul Industrial Output (YoY%)      | 23,3    | 23       |
| South Korea                | 0500         | Aug Consumer Confidence           | -       | 106,8    |
| <b>Wednesday 26 August</b> |              |                                   |         |          |
| India                      | 1930         | M3 Money Supply (YoY%)            | -       | 14,7     |
| Singapore                  | 1300         | Jul Industrial Output (MoM%/YoY%) | -/-     | -7.2/7.2 |
| Thailand                   | 1500         | Rate Decision (%)                 | -       | 1        |
| <b>Thursday 27 August</b>  |              |                                   |         |          |
| Philippines                | 1300         | Jul Budget Balance (PHP bn)       | -       | -264,3   |
|                            | 1500         | Rate Decision (%)                 | 5       | 4,75     |
| South Korea                | 0900         | Rate Decision (%)                 | CF: 3   | 2,75     |
| China                      | 0930         | Industrial profits (YoY%)         | -       | 15,1     |
| Philippines                | 1430         | Rate Decision (%)                 | 5       | 4,75     |
| <b>Friday 28 August</b>    |              |                                   |         |          |
| Japan                      | 0730         | Aug Tokyo Core CPI (YoY%)         | CF: 1,7 | 1,9      |
|                            | 0730         | Aug Tokyo CPI (YoY%)              | CF: 1,9 | 2        |
|                            | 0730         | Jul Unemployment Rate (%)         | -       | 2,5      |
| India                      | 1830         | Jul Industrial Output (YoY%)      | -       | 7,3      |
|                            | 1930         | FX Reserves (USD bn)              | -       | 707      |
| Malaysia                   | 1500         | Jul M3 Money Supply (YoY%)        | -       | 6,7      |
| Philippines                | 0900         | Jul Imports (YoY%)                | -       | 19,6     |
|                            | 0900         | Jul Exports (YoY%)                | -       | 24,1     |
|                            | 0900         | Jul Trade Balance (USD bn)        | -       | -4,9     |
| Thailand                   | 1200         | Jul Industrial Output (YoY%)      | -       | -3,1     |

Note : CF = Market consensus forecast data

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Article | 20 August 2026

POLAND

## Poland's economy enters the third quarter on an uneven footing

Poland's economy ended 2Q26 on a strong footing, but July brought a softer picture of activity. Solid industrial performance was accompanied by a surprising decline in construction output. We think the peak of the current economic cycle may already be behind us, but we still expect robust growth in the second half of the year and GDP to expand by 3.4% in 2026



Poland's growth may have peaked in the second quarter, but we still expect GDP growth of 3.4% in 2026

### Industry continues to perform strongly

Industrial output increased by 5.1% year-on-year in July, slightly exceeding market expectations. Growth was nevertheless weaker than in June, when output rose by 7.4% YoY, supported by a favourable calendar effect and a low reference base in many manufacturing divisions.

Production of capital goods increased at a double-digit pace, rising by 11.1% YoY, while intermediate goods output also recorded strong growth of 6.3% YoY. This points to solid investment momentum as projects financed under the National Recovery and Resilience Plan continue to gather pace.

Particularly strong growth was reported in the manufacture of other transport equipment, where output rose by 31.5% YoY. Production of computer, electronic and optical products increased by 21.0% YoY, while the manufacture of machinery and equipment expanded by 17.3%.

Declines were recorded in the manufacture of tobacco products, down 10.6% YoY, furniture, down 3.3%, and textiles, down 2.5%. The furniture and textile industries have come under increasing pressure from Asian imports in recent quarters.

### **Construction activity less compelling**

The positive picture from industry was somewhat undermined by disappointing construction data, with output falling by 2.4% YoY in July. In June, declines in building construction and specialised construction activities were more than offset by surging civil engineering output. In July, however, activity weakened across the board, with output falling in all three main construction segments.

This picture appears inconsistent with the signs of strengthening investment activity suggested by the composition of industrial production and rising expenditure under the National Recovery and Resilience Plan. Statistics Poland indicated that the July figures were distorted by the irregular timing of post-completion settlements, which could provide a boost to output data in the coming months.

### **The peak of the cycle may be behind us, but solid growth should continue**

Somewhat surprisingly, despite continued geopolitical tension in the Middle East, second quarter 2026 may have marked the peak of the current economic cycle. Matching the quarter's 3.8% YoY GDP growth rate could prove difficult over the coming quarters. Nevertheless, we still expect GDP growth to run at around 3% YoY in the second half of 2026, resulting in full-year economic growth of 3.4%.

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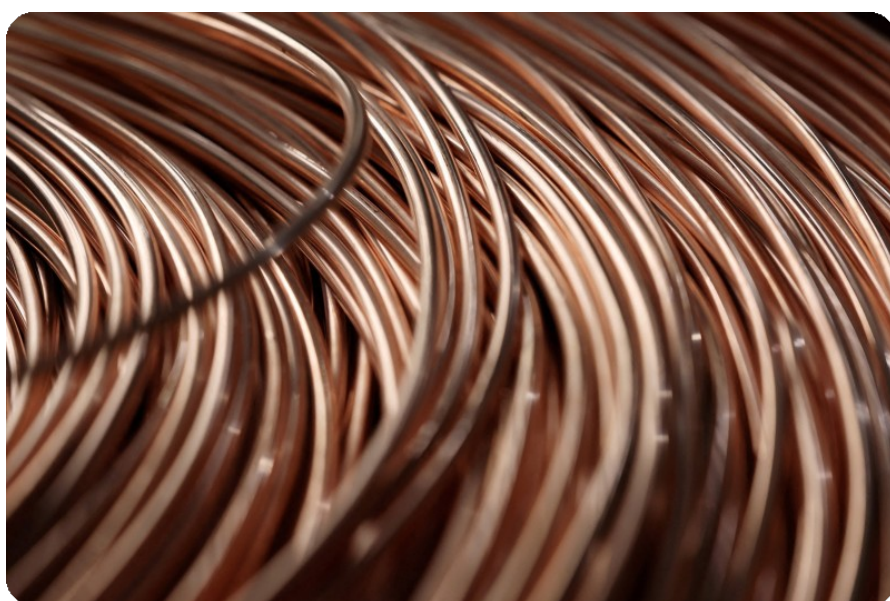
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Article | 7 August 2026

COMMODITIES, FOOD &amp; AGRI

## Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

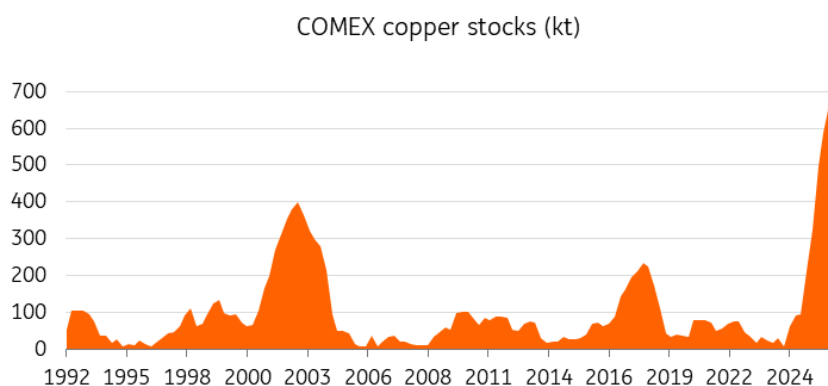
In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

### Tariff expectations remain a key market driver

Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

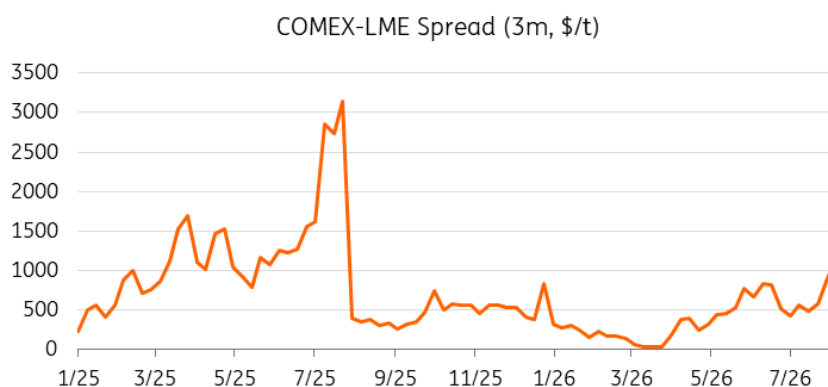


## COMEX inventories reach record highs



Source: COMEX, ING Research

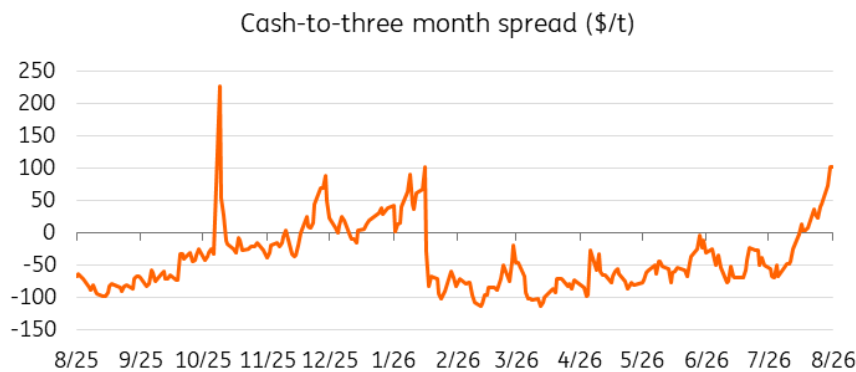
## Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

## Nearby copper market tightens



Source: LME, ING Research

## LME inventories continue to decline



Source: LME, ING Research

## Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

### The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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